

Employee Attrition Analysis and Retention Recommendations

Project Overview

This project aimed to identify employees who are at risk of leaving the company and understand the factors that contribute to employee turnover. The analysis was conducted using employee data from 1,470 employees.

Key Findings

1. Approximately **16%** of employees left the company, while the majority remained with the company.
2. The **Sales department** experienced the highest attrition rate among all departments.
3. **Sales Representatives** and **Laboratory Technicians** showed particularly high employee exit rates.
4. Employees with **lower monthly income**, **shorter tenure**, and those who **work overtime** were significantly more likely to leave the company.
5. **Work-life balance** and **excessive overtime** appear to influence employee turnover more strongly than salary alone.

Employee Risk Prediction Results

Several predictive approaches were evaluated to determine which one could most effectively identify employees who are at risk of leaving the company. The selected approach demonstrated a stronger ability to recognise potential employee turnover and can serve as an early warning system for HR teams. By identifying at-risk employees in advance, the company can take proactive steps such as conducting retention conversations, addressing workload concerns, reviewing compensation and career development opportunities, and implementing targeted retention strategies before valuable employees decide to resign.

Business Recommendations

1. Introduce workload management and work-life balance initiatives to reduce excessive overtime and employee stress.
2. Implement targeted retention programs for employees in high-risk job roles, especially Sales Representatives and newer employees with fewer years at the company.
3. Review compensation and recognition programs for lower-paid employees to improve job satisfaction and retention.

Conclusion

By using employee data to identify early signs of attrition, HR teams can take proactive steps to improve employee satisfaction, address workplace concerns, and implement targeted retention strategies. Taking action before valuable employees decide to resign can help reduce turnover costs, improve workforce stability, and retain key talent within the organisation.